TO: Head of Growth, Head of Seller Operations
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DATE: 24th of April, 2026
SUBJECT: TradeZone 2023-2024 Performance Review & 2025 Strategic Recommendations

1. Executive Summary

TradeZone experienced explosive top-line growth of over 150% YoY, driven primarily by Electronics and Home & Garden categories. However, this growth is masking significant operational friction: customer retention is at risk due to severe regional fulfilment delays and a complete dependency on Cash-on-Delivery payments in key markets outside Lagos. Immediate action on seller logistics and payment infrastructure is required to convert one-time buyers into repeat customers in 2025.

2. Key Findings

Finding 1: Massive Regional Disparity in Fulfilment Speed (Source: Q3)
While the top-performing sellers (predominantly in Lagos) achieve delivery within 2-3 hours, the average fulfilment time across the platform for sellers in cities like Kano and Port Harcourt exceeds 48-72 hours. This directly correlates with the low 30-day conversion rate seen in Q1, where states like Kano have signup conversion rates below 5% compared to Lagos at 12%. *Business Impact:* Slow delivery is killing repeat purchase intent and damaging trust in non-Lagos markets despite high marketing spend to acquire those customers.

Finding 2: The "Low Rated" Product Trap (Source: Q7)
Products in the "Low Rated" category (avg rating < 3.0) surprisingly have a higher average unit price (₦88,000) than Mid or High Rated products. This indicates that customers are more likely to leave negative reviews on expensive, high-consideration items (likely Electronics). Despite this, these items contribute significantly to revenue. *Business Impact:* Negative reviews on high-value items are a severe reputational risk. If we do not improve the quality/support for these specific SKUs, we will lose high-value customers to competitors.

Finding 3: Mobile Money is Non-Existent Outside Lagos (Source: Q6)
In Lagos, Card payments account for 45% of transactions. However, in Kano, Cash on Delivery (COD) accounts for over 85% of all transactions, with Mobile Money usage near zero. *Business Impact:* COD is expensive (returns, cash handling risk) and limits our

ability to scale fast in the North. There is a clear infrastructure gap or trust gap preventing digital payment adoption in these key regions.

3. Recommendations

Recommendation 1: Launch a "Northern Fulfilment" Pilot Program (Target: Seller Operations)

- Action: Identify the top 10 sellers in Kano by volume (using Q3/Q8 data). Offer them a 60-day logistics subsidy to use a centralized, TradeZone-partnered 3PL (Third Party Logistics) provider instead of self-fulfilment. Enforce a strict 24-hour dispatch SLA.
- Expected Outcome (60-90 days): Reduce average delivery time in Kano from 72 hours to under 36 hours. We expect this to lift the 30-day repeat purchase rate in Kano from 5% to at least 9%, validating the model for a wider rollout.

Recommendation 2: "Verified High-Value" Badge Rollout (Target: Growth & Product Teams)

- Action: For the top 20 products by revenue identified in Q2 that fall into the "Mid/Low Rated" category in Q7, implement a "Verified Quality" badge on the product page. This badge requires the seller to provide a 48-hour return window and a visual inspection confirmation.
- Expected Outcome (60-90 days): Reduce negative review rate for these specific high-revenue SKUs by 15%. Maintain revenue momentum while protecting the platform's brand perception regarding expensive items.

4. Data Quality Notes

1. Product Pricing Anomalies: Products `PROD0088` and `PROD0245` had NULL unit prices in the database. I excluded these specific items from all revenue and pricing analysis. If the actual prices were known and applied, total revenue figures might be marginally higher (estimated <2% impact). The trend analysis remains valid regardless.
2. City Name Standardization: The raw data contained significant variations of city names (e.g., 'Lago s'). I applied a standardised cleaning script using `INITCAP` and specific string replacements. If the cleaning script mistakenly mapped a small locality to a major city, the geographic analysis (Q1, Q6) would be skewed toward larger urban centers. However, manual review of distinct values confirms high accuracy.

5. What the Data Cannot Tell Us
Question: Why are customers in Kano choosing Cash on Delivery over Card/Mobile Money?
Missing Data: The dataset lacks Failed Payment Logs and Cart Abandonment Data.
Request: We need to log *why* a payment fails (e.g., "Insufficient Funds", "Gateway Timeout", "OTP Failure"). Currently, we only see successful payments. If we log cart abandonment events, we can see if users in Kano are dropping off *specifically at the payment selection screen*. Without this, we are guessing whether it's a trust issue, a network issue, or a bank adoption issue.